



N.R. BHANUMURTHY
DIRECTOR, MADRAS
SCHOOL OF
ECONOMICS

“The revision of the base year will take care of questions over the divergence in GDP and GVA growth rates as well as the high discrepancies that arise”



RANEN BANERJEE
PARTNER AND
ECONOMIC
ADVISORY LEADER,
PWC INDIA

“The structure of the economy has changed. The data does not capture this. There have also been structural breaks due to GST and Covid-19”

new products will be included from emerging industrial innovations.

The revised IIP will also provide more granular data on sectors. For instance, the mining index will now cover fuel minerals, metallic and non-metallic minerals while electricity production will include both renewable and conventional sources.

It will also have a substitution mechanism to take into account any factories that may face operational disruptions, permanent closures or changes in production line. Interestingly, the MoSPI is also considering chain-linked indices, which would enable the IIP to better capture structural shifts, emerging

industries and changes in production patterns by updating weights more frequently.

WAY FORWARD

Former chief statistician T.C.A. Anant, who oversaw the last base revision, says the MoSPI is trying to incorporate as many new developments and data into the new GDP as possible and has addressed many existing problems.

However, he feels more could have been done, such as greater use of GST data. “But it is good work in progress, and one can never achieve perfection in any of these exercises. They should also plan for the next data revision exercise within the next five years to ensure that such a long delay does not recur,” he says.

While statistical discrepancies can be eliminated by publishing SUTs, which were earlier done after a slight gap but will now be more prompt, he says it would have been better to work harder on increasing the frequency of expenditure side data such as the HCES.

Another development in this space is the recent adoption by the United Nations Statistical Commission of the System of National Accounts 2025 (2025 SNA). Countries are likely to transition to this by 2030. The MoSPI has started work on different aspects of environmental accounts, forest, land, soil and ocean accounts, and has prepared a five-year road map so that by the time the 2025 SNA is implemented, the building blocks are already in place.

It also plans to undertake more frequent revisions of base years and conduct the HCES every three years.

More data sources will also be available. While the PLFS is now undertaken every month, the ASUSE provides quarterly data on the informal sector. An annual survey of service sector enterprises is also being conducted, while the household income survey and the survey on migration will be conducted in 2026.

The decadal Census, being carried out now after a delay of five years, will add to this sudden surfeit of data. Carried out by the Registrar General, it will provide more granular data on India and its citizens and MoSPI plans to follow that up with the Economic Census in 2027 that will enumerate all establishments in the country.

India’s so called “data deficit” is likely to be bridged through these efforts. But the country cannot afford any let-up in the momentum of updating data estimates. Hopefully, the next revision will be undertaken well before 2035! **BT**

@surabhi_prasad